BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

January 2020

Prepared Supplemental Testimony
of:

Staff Revenue Requirements Panel

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Q. Members of the Staff Revenue Requirements Panel, please identify yourselves.
A. We are John Castano and Sarah Keymel.
Q. Is this the same Panel that previously submitted pre-filed direct testimony in this proceeding on August 30, 2019?
A. Yes.

Scope of Testimony

Q. Panel, what is the scope of your supplemental testimony in this proceeding?
A. We will set forth corrections, updates and supplemental adjustments to our revenue requirements filed in our direct testimony.
Q. Are you sponsoring any Exhibits?
A. Yes, we are sponsoring five Exhibits: Exhibit__(SRRP-1 Corrected), Exhibit__(SRRP-2 Corrected), Exhibit__(SRRP-4 Corrected), Exhibit__(SRRP-5), and Exhibit__(SRRP-6)
Q. Please describe Exhibit__(SRRP-1 Corrected) and Exhibit__(SRRP-2 Corrected).
A. Exhibit__(SRRP-1 Corrected) is our corrected rate year cost of service presentation for KEDLI and Exhibit__(SRRP-2 Corrected) is our corrected

rate year cost of service presentation for KEDNY.

Q. Please describe Exhibit__(SRRP-4 Corrected).

A. Exhibit__(SRRP-4 Corrected) is our corrected compilation of workpapers.

Q. Please describe Exhibit__(SRRP-5) and Exhibit__(SRRP-6).

A. Exhibit__(SRRP-5) and Exhibit__(SRRP-6) are the Rate Year cost of service presentations for KEDLI and KEDNY, respectively, encompassing Staff's corrections, updates and supplemental adjustments.

Summary of Revenue Requirements

Q. Please summarize Staff's recommended revenue requirement in its pre-filed direct testimony regarding KEDLI and KEDNY.

A. In our August 30, 2019 direct testimony, Staff recommended a base delivery revenue requirement decrease of $51.852 million for KEDLI and a base delivery revenue requirement increase of $2.205 million for KEDNY.

Q. Please summarize Staff's corrected revenue requirement for KEDLI and KEDNY.

A. Purely on the basis of corrections to Staff's pre-filed direct testimony, Staff recommends a base delivery revenue requirement decrease of $44.248 million, or approximately $7.604 million less of a decrease than our direct testimony for KEDLI. Staff recommends a base delivery revenue requirement increase of $18.017 million, or approximately $15.812 million more than our direct testimony for KEDNY.

Q. Do you recommend that the Commission adopt these corrected revenue requirements?

A. No. The corrected revenue requirements do not reflect certain appropriate updates and Staff's position regarding the Companies' second supplemental testimony. Accordingly, we have also prepared Staff's supplemental revenue requirements, which reflect Staff's current recommendations.

Q. Please summarize Staff's supplemental revenue requirement for KEDLI and KEDNY.

A. Staff recommends a base delivery revenue requirement decrease of $42.983 million, or approximately $1.265 million less of a decrease than our corrected position for KEDLI. Staff

recommends a base delivery revenue requirement increase of $28.993 million, or approximately $10.967 million more than our corrected position for KEDNY.

Corrections To Direct Testimony and Staff's Revenue Requirement Exhibits

Q. Identify the corrections made in the Staff revenue requirement for KEDLI, Exhibit__(SRRP-1 Corrected).

A. Corrections are reflected on Schedules 7a, 7b and 7c of Exhibit__(SRRP-1 Corrected). Schedule 7a is a listing of the adjustments identified by the Company reflecting the assumption that the North East Supply Enhancement (NESE) project will not be built. We are making two correcting adjustments that are identical to the adjustments made by KEDLI in its rebuttal filing, as shown on Exhibit__(RRP-1R), Schedule 1. The first correcting adjustment decreases Depreciation Expense by $0.013 million. The second correcting adjustment decreases Net Utility Plant by $1.104 million.

Q. Explain the correcting adjustments you are

making on Schedule 7b of the Staff revenue requirement for KEDLI.

A. Schedule 7b is a listing of additional Staff adjustments resulting from Staff's no NESE assumption. We have five correcting adjustments. The first correcting adjustment decreases Operating Revenues by $6.181 million. The second correcting adjustment decreases Purchased Gas Costs by $7.912 million. The third correcting adjustment decreases Revenue Taxes by $0.062 million. The Staff Rates Panel discusses these three correcting adjustments in its supplemental testimony. The forth correcting adjustment increases Other Initiatives expense by $0.177 million. This correcting adjustment removes the adjustment reducing the incremental FTEs by 2.2 and instead these 2.2 FTEs will be adjusted out with Staff's other adjustments shown on Schedule 7c, as Staff's adjustment is not related to whether or not NESE is built. As this just changes where Staff presents this adjustment, it is revenue neutral. The fifth correcting adjustment increases Other Initiatives expense by $0.027

million. KEDLI's first supplemental testimony indicated the incremental FTEs expense would be $0.054 million lower if NESE was not built. However, when KEDLI responded to IR DPS-868, it indicated that the incremental FTEs expense would only be $0.027 million lower if NESE was not built. Therefore, a correcting adjustment is needed to reflect the proper reduction to incremental FTEs expense and will increase KEDLI's revenue requirement by $0.027 million.

Q. Explain the correcting adjustments you are making on Schedule 7c of the Staff revenue requirement for KEDLI.

A. Schedule 7c is a listing of Staff's other adjustments not related to NESE. We are making corrections to the following areas: Other expense, Service Company Rent expense, Transportation expense, Other Initiatives expense, Uncollectible Accounts expense, Economic Development expense, Amortization of Regulatory Deferrals, Depreciation Expense, Utility Plant, Accumulated Depreciation, Federal and State Accumulated Deferred Income Taxes (ADIT) and Excess Earnings Base (EB/CAP).

Q. Will the Panel be explaining each correcting adjustment?

A. No. We will explain the correcting adjustments for the areas that we are responsible for and for the other correcting adjustments identified, we will identify the responsible Staff witness and panels.

Q. What correcting adjustments are being made to Other expense?

A. There is one correcting adjustment, which increases Other expense by $0.022 million. This correcting adjustment reflects the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to Service Company Rent expense?

A. There are four correcting adjustments made to Service Company Rent expense. The first correcting adjustment decreases Service Company Rent expense by $0.013 million. The second correcting adjustment increases Service Company Rent expense by $0.087 million. The third correcting adjustment increases Service Company Rent expense by $1.461 million and the forth correcting adjustment increases Service Company

Rent expense by $2.909 million. These correcting adjustments are discussed in the supplemental testimony of the Staff Information Technology Panel.

Q. What correcting adjustments are being made to Transportation expense?

A. There is one correcting adjustment, which decreases Transportation by $0.387 million. This correcting adjustment reflects the Companies' corrections identified in the response to IR DPS-661.

Q. What correcting adjustments are being made to Other Initiatives expense?

A. There are four correcting adjustments made to Other Initiatives expense. The first correcting adjustment increases Other Initiatives expense by $0.289 million. This adjustment is discussed in the supplemental testimony of Staff's Gas Infrastructure and Operations Panel. The second correcting adjustment decreases Other Initiatives expense by $0.177 million. As identified earlier, this correcting adjustment was to move an adjustment reducing the incremental FTEs by 2.2 from Schedule 7b to

Schedule 7c, since this adjustment should have been made with Staff's other adjustments instead of with the no NESE adjustments. The third correcting adjustment increases Other Initiative expense by $0.070 million. This correcting adjustment eliminates the adjustment that removed 0.5 FTE from GIOP Research and Development, as this adjustment should not have been made. The forth correcting adjustment decreases Other Initiatives expense by $0.001 million. This correcting adjustment updates the change in the labor burdens due to the correcting adjustment to include an additional 0.5 FTE in the incremental FTE headcount.

Q. What correcting adjustments are being made to Uncollectible Accounts expense?

A. There is one correcting adjustment, which decreases Uncollectible Accounts expense by $0.123 million. This correcting adjustment reflects the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to Economic Development expense?

A. There is one correcting adjustment, which

increases Economic Development expense by $1.750 million, and is needed to correctly reflect in Staff's revenue requirement schedules, KEDLI's proposed total grant spending of $2.750 million in the Rate Year, as shown in the Future of Heat Panel's Exhibit__(FOH-8).

Q. What correcting adjustments are being made to Amortization of Regulatory Deferrals?

A. There are two correcting adjustments to Amortization of Regulatory Deferrals. The first correcting adjustment increases the amount of deferred credits reflected in the Amortization of Regulatory Deferrals by $1.750 million. This adjustment is required to correctly reflect KEDLI's proposal to use deferred credits for previously unspent economic development funds to help pay for the proposed Rate Year grant program costs. The net effect of the correction adjustments made to expense and the amortization of regulatory deferrals related to the economic development program is revenue neutral. The second correcting adjustment decreases the amount of deferred credits reflected in the Amortization of Regulatory Deferrals by $0.705

million. This adjustment corrects and reflects the proper amount of regulatory liabilities that are available to fund the cost of incremental gas safety programs. The previously reflected amortization of $0.750 million was in error, as the amount is already dedicated to fund other specific gas safety expenses. As such, it is not available to amortize in these rate proceedings.

Q. What correcting adjustments are being made to Depreciation Expense?

A. There are two correcting adjustments made to Depreciation Expense. The first correcting adjustment decreases Depreciation Expense by $0.124 million. The second correcting adjustment increases Depreciation Expense by $0.660 million. These two correcting adjustments are addressed in the supplemental testimony of the Staff Gas Infrastructure and Operations Panel.

Q. What correcting adjustments are being made to Utility Plant?

A. There are two correcting adjustments made to Utility Plant. The first correcting adjustment

decreases Utility Plant by $8.916 million. The second correcting adjustment increases Utility Plant by $61.113 million. These correcting adjustments are addressed in the supplemental testimony of the Staff Gas Infrastructure and Operations Panel.

Q. What correcting adjustments are being made to Accumulated Depreciation?

A. There is one correcting adjustment, which decreases Accumulated Depreciation by $0.866 million. This correcting adjustment is tracking Staff's correcting adjustment to Utility Plant and Depreciation Expense.

Q. What correcting adjustments are being made to Accumulated Deferred Income Taxes – Federal?

A. There are two correcting adjustments made to ADIT – Federal. The first correcting adjustment decreases ADIT - Federal by $0.348 million and the second correcting adjustment decreases ADIT – Federal by $3.254 million. These correcting adjustments reflect the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to Accumulated Deferred Income Taxes – State?

A. There are two correcting adjustments made to ADIT – State. The first correcting adjustment decreases ADIT - State by $0.138 million and the second correcting adjustment decreases ADIT – Federal by $1.428 million. These correcting adjustments are addressed in the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to Excess Earnings Base / Capitalization adjustment (EB/CAP)?

A. There is one correcting adjustment, which increases EB/CAP by $2.802 million. In our initial testimony, we proposed to remove amounts from rate base related to a cost sharing agreement with New York City (NYC), and inadvertently did not make a corresponding adjustment, to remove the historic test year amount related to the cost sharing agreement from the calculation of historic test year earnings base from rate base. The adjustment corrects this error.

Q. Turning to KEDNY, identify the corrections made in the Staff revenue requirement for KEDNY, Exhibit__(SRRP-2 Corrected).

A. Similar to KEDLI, corrections for KEDNY are reflected on Schedules 7a, 7b and 7c of Exhibit__(SRRP-2 Corrected). Schedule 7a is a listing of the adjustments identified by the Company reflecting the assumption that the NESE project will not be built. We are making two correcting adjustments that are identical to the adjustments made by KEDNY in its rebuttal filing, as shown on Exhibit__(RRP-1R) Schedule 1. The first correcting adjustment is being made to increase Depreciation Expense by $0.004 million. The second correcting adjustment is being made to increase Net Utility Plant by $0.659 million.

Q. Explain the correcting adjustments you are making on Schedule 7b of the Staff revenue requirement for KEDNY.

A. Schedule 7b is a listing of additional Staff adjustments resulting from Staff’s no NESE assumption. We are making four correcting adjustments. The first correcting adjustment decreases Operating Revenues by $5.060 million. The second correcting adjustment decreases Purchased Gas Costs by $2.275 million, and the

third correcting adjustment decreases Revenue Taxes by $0.353 million. These three correcting adjustments are addressed in the supplemental testimony of Staff's Rates Panel. The forth correcting adjustment is being made to increase Other Initiatives expense by $0.233 million. This correcting adjustment removes the adjustment reducing the incremental FTEs by 2.4 and instead these 2.4 FTEs should be reflected with Staff's other adjustments shown on Schedule 7c. As this just changes where Staff presents this adjustment, it is revenue neutral.

Q. Explain the correcting adjustments you are making on Schedule 7c of the Staff revenue requirement for KEDNY.

A. Schedule 7c is a listing of Staff's other adjustments not related to NESE. We are making corrections to the following areas: Service Company Rent expense, Other Initiatives expense, Uncollectible Accounts expense, Economic Development expense, Amortization of Regulatory Deferrals, Depreciation Expense, Other Taxes, Utility Plant, Accumulated Depreciation, Federal and State Accumulated Deferred Income Taxes

(ADIT) and Excess Earnings Base (EB/CAP).

Q. Will the Panel be explaining each correcting adjustment?

A. No. As with KEDLI, for the adjustments to KEDNY's revenue requirement, we will explain the correcting adjustments for the areas that we are responsible for and for the other correcting adjustments identified, we will identify the responsible Staff witness and panels.

Q. What correcting adjustments are being made to Service Company Rent expense?

A. There are four correcting adjustments made to Service Company Rent expense. The first correcting adjustment decreases Service Company Rent expense by $0.021 million. The second correcting adjustment increases Service Company Rent expense by $2.015 million. The third correcting adjustment increases Service Company Rent expense by $0.155 million and the forth correcting adjustment increases Service Company Rent expense by $4.446 million. These correcting adjustments are addressed in the supplemental testimony of the Staff Information Technology Panel.

Q. What correcting adjustments are being made to Other Initiatives expense?

A. There are two correcting adjustments made to Other Initiatives expense. The first correcting adjustment increases Other Initiatives expense by $0.164 million. This adjustment is addressed in the supplemental testimony of the Staff Gas Infrastructure and Operations Panel. The second correcting adjustment decreases Other Initiatives expense by $0.233 million. As identified previously, this correcting adjustment was to move an adjustment reducing the incremental FTEs by 2.4 from Schedule 7b to Schedule 7c, since this adjustment should have been made with Staff's other adjustments instead of as part of the no NESE adjustments.

Q. What correcting adjustments are being made to Uncollectible Accounts?

A. There is one correcting adjustment, which decreases Uncollectible Accounts expense by $1.180 million. This correcting adjustment reflects the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to

Economic Development expense?

A. There is one correcting adjustment, which increases Economic Development expense by $1.250 million, and is needed to correctly reflect in Staff's revenue requirement schedules, KEDNY's proposed total grant spending of $2.250 million in the Rate Year, as shown in the Future of Heat Panel's Exhibit__(FOH-8).

Q. What correcting adjustments are being made to Amortization of Regulatory Deferrals?

A. There is one correcting adjustment, which increases the amount of deferred credits reflected in the Amortization of Regulatory Deferrals by $1.250 million. This adjustment is required to correctly reflect KEDNY's proposal to use deferred credits for previously unspent economic development funds to help pay for the proposed Rate Year grant program costs. The net effect of the correction adjustments made to expense and the amortization of regulatory deferrals related to the economic development program is revenue neutral.

Q. What correcting adjustments are being made to Depreciation Expense?

A. There are three correcting adjustments made to Depreciation Expense. The first correcting adjustment increases Depreciation Expense by $0.170 million. The second correcting adjustment increases Depreciation Expense by $0.382 million. These two correcting adjustments are addressed in the supplemental testimony of the Staff Gas Infrastructure and Operations Panel. The third correcting adjustment increases Depreciation Expense by $3.047 million. This correcting adjustment is addressed in the supplemental testimony of the Staff Rates Panel.

Q. What correcting adjustments are being made to Other Taxes?

A. There is one correcting adjustment, which increases Other Taxes by $0.024 million. This correcting adjustment reflects the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to Utility Plant?

A. There are two correcting adjustments made to Utility Plant. The first correcting adjustment decreases Utility Plant by $1.331 million. The

second correcting adjustment increases Utility Plant by $29.754 million. These correcting adjustments are addressed in the supplemental testimony of the Staff Gas Infrastructure and Operations Panel.

Q. What correcting adjustments are being made to Accumulated Depreciation?

A. There are two correcting adjustments made to Accumulated Depreciation. The first correcting adjustment decreases Accumulated Depreciation by $0.487 million and the second correcting adjustments decreases Accumulated Depreciation by $1.523 million. These correcting adjustments track Staff’s correcting adjustments to Utility Plant and Depreciation Expense.

Q. What correcting adjustments are being made to Accumulated Deferred Income Taxes – Federal?

A. There are two correcting adjustments made to ADIT – Federal. The first correcting adjustment decreases ADIT - Federal by $0.595 million and the second correcting adjustment decreases ADIT – Federal by $2.443 million. These correcting adjustments reflect the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to Accumulated Deferred Income Taxes – State?

A. There are two correcting adjustments made to ADIT – State. The first correcting adjustment decreases ADIT - State by $0.252 million and the second correcting adjustment decreases ADIT – Federal by $1.068 million. These correcting adjustments reflect the corrected testimony of the Staff Accounting Panel.

Q. What correcting adjustments are being made to EB/CAP?

A. There is one correcting adjustment, which increases EB/CAP by $22.083 million. In our initial testimony, we recommended an adjustment to remove amounts from rate base related to a cost sharing agreement with NYC, and inadvertently did not make a corresponding adjustment to remove the historic test year amount related to the cost sharing agreement from the calculation of historic test year earnings base from rate base. The adjustment corrects this error.

Updates Reflected In Staff's Revenue Requirements

Q. Are you reflecting any updates in the revenue requirements for KEDNY and KEDLI?

A. Yes. We are reflecting two updates in the revenue requirement schedules set forth in Exhibit___(SRRP-5) and Exhibit___(SRRP-6).

Q. What is the first update?

A. KEDNY and KEDLI are required to recalculate their Energy Affordability Program bill discounts and program budgets annually. The 2020 program year, which impacts the Rate Year budgets, have increased, and as such, we are reflecting this change in the revenue requirement models. The supplemental testimony of the Staff Consumer Services Panel provides additional information on this update. This update increases the Low-Income Program costs by $12.934 million for KEDNY and $1.156 million for KEDLI.

Q. What is the second update?

A. The January 16, 2020 Commission Order in Case 18-M-0084 formally adopted budgets and targets for KEDNY and KEDLI energy efficiency portfolios for calendar years 2021-2025. As discussed in

more detail in the supplemental testimony of the Staff Efficiency and Sustainability Panel, this Order affected KEDNY's and KEDLI's energy efficiency budgets for the Rate Year. This change results in a decrease to the Energy Efficiency program costs of $0.322 million for KEDNY and an increase of $1.062 million for KEDLI, for a Rate Year Energy Efficiency Program amount of $10.711 for KEDLI and $18.557 million for KEDNY and.

Adjustments Reflected in Staff's Supplemental Revenue Requirements

Q. Are you reflecting any adjustments to the Companies' Second Supplemental Filing in the revenue requirements for KEDNY and KEDLI?

A. Yes. We are reflecting several adjustments in the revenue requirement schedules set forth in Exhibit__(SRRP-5) and Exhibit__(SRRP-6).

Q. What is the first adjustment?

A. The first adjustment corrects KEDNY's and KEDLI's damage prevention mark-out contract updates. The supplemental testimony of the Staff Policy Panel provides additional

information on this correction. For KEDNY, this correction reduces O&M expense, line item Other Initiatives, by $1.888 million. For KEDLI, this correction increases O&M expense, line item Other Initiatives, by $0.168 million.

Q. What is the second adjustment?

A. The second adjustment removes the O&M and capital expenses associated with damage prevention mark out costs from the Companies' Rate Year forecast. The supplemental testimony of the Staff Policy Panel provides additional information on this adjustment. For KEDNY, this adjustment reduces Other Initiatives expense by $4.950 million. For KEDLI this adjustment reduces Other Initiatives expense by $1.937 million, Depreciation Expense by $0.001 million, and Rate Base by $1.290 million.

Q. What is the third adjustment?

A. The third adjustment corrects an error identified in the commodity revenues for KEDNY. This results in an increase to operating revenues of $22.112 million, an increase to purchased gas costs of $21.414 million, and an increase to revenues taxes of $0.005 million.

These changes have a de minimis impact on KEDNY's revenue requirement. The supplemental testimony of the Staff Rates Panel provides additional information on this adjustment.

Q. What is the forth adjustment?

A. The forth adjustment removes the O&M and capital costs associated with KEDLI's update for its Proactive Main Replacement program. The supplemental testimony of the Staff GIOP provides additional information on this adjustment. For KEDLI this adjustment increases depreciation expense by $0.004 million, and Rate Base by $0.495 million.

Q. What is the fifth adjustment?

A. The fifth adjustment reflects Staff's latest sales forecast. The supplemental testimony of the Staff Rates Panel provides additional information on this adjustment. For KEDNY, this adjustment increases operating revenues by $37.722 million, purchased gas costs by $31.504 million, and revenue taxes by $1.127 million. For KEDLI, this adjustment decreases operating revenues by $13.510 million, purchased gas costs by $0.668 million, and revenue taxes by $5.353

million

Q. Does this conclude your testimony at this time?

A. Yes.